and support of the United States. Under the injunction of 'Cuba for Cubans,' the new government proceeded to enact reform laws at a dizzying pace."[28] The new government implemented pro-labor policies that echoed – and in some cases prefigured – those of the New Deal in the United States, including creating a Ministry of Labor, raising wages, legislating the eight-hour day, and creating a system of Workers Compensation. These changes challenged U.S. political control, as well as the interests of U.S. investors on the island. But the new government went still further to challenge foreign economic control, with measures that cut the rates charged by (U.S.-owned) utility companies, and an agrarian reform. "The defense of Cuban interests," Pérez states bluntly, "jeopardized U.S. interests."[29] Meanwhile the labor uprising had taken on a life of its own. Sugar workers – many of them affiliated with the PCC – seized the plantations they worked on and established self-governing soviets. The United States quickly concluded that the new government was far too radical for its purposes. Increasingly alarmed, Welles turned to the Cuban army.

The 1933 revolt against Céspedes had been set off by a group of low-level officers led by Sergeant Fulgencio Batista. Grau San Martín quickly promoted Batista to Colonel and turned the command of the army over to him. But Welles too had his eye on Batista as a potential, more controllable, replacement for Grau. While refusing to recognize the new government, Welles privately cultivated Batista, suggesting to him that "the very great majority of the commercial and financial interests in Cuba who are looking for protection … could only find such protection in himself" and that the United States would look approvingly on an overthrow of the revolutionary government.[30] Batista did just that in January of 1934, and this time, it lasted. The United States helped by immediately offering recognition to the new Batista regime. Directly, or behind the scenes, Batista would remain a power-maker until 1959. From 1934–44 and 1952–59 he ruled directly.

While Batista succeeded in crushing the armed opposition to his takeover, he eventually made peace with Cuba's Communist Party. In a 1935 about-face, the Comintern abandoned the Third Period for the idea